B U S I N E S S R E P O R T

RavenStack SaaS

Revenue Growth & Churn Analysis

$18.7M ARR | 42.76% Churn Rate | $14M Annual Revenue Loss

Identifying root causes and building a phased recovery plan targeting $25M ARR within 12 months

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Tools: SQL Server | Power BI | DAX

1. Executive Summary

RavenStack is a SaaS platform launched in 2023 that has achieved strong product-market fit, generating $136M in total revenue across 5,000 subscriptions with presence in 7 countries and 5 industry verticals. However, the platform is bleeding $14M annually through a 42.76% churn rate, with 486 subscriptions lost.

Churn is not a sales or market problem; **it is a product execution and delivery problem.** Trial-to-paid conversion is strong (84% of churned customers had already converted from trial), but customers leave within 30–90 days of paying when they encounter reliability issues in production use.

$136M	$18.7M	5K	42.76%
TOTAL REVENUE	ARR	TOTAL SUBS	CHURN RATE

$14M	486	40	10.02
LOST ARR	CHURNED SUBS	TOTAL FEATURES	AVG USAGE

Key Findings

1. **Feature reliability drives 48% of churn.** Four features (feature 4, feature 26, feature 9, feature 2) generate 48% of all error events despite representing only 10% of the product suite.
2. **Enterprise plan paradox.** Enterprise generates the highest revenue but accounts for 78.56% ($11M) of all lost revenue. The highest-value customers are leaving at the highest rate.
3. **Post-trial churn, not trial churn.** 408 of 486 churned subscriptions had converted from trial. Customers are convinced to pay, then encounter problems in production.
4. **DevTools + Cybersecurity = 47% of all churn** (228 of 486 churned subs) despite not being the top revenue verticals.
5. **US revenue concentration risk.** The US generates the vast majority of ARR. Any market disruption would disproportionately impact the business.

2. Revenue & Growth Analysis

Revenue across the platform totals $136M with 5K subscriptions. The growth story is positive at the topline, but the underlying patterns reveal concentration risks that amplify the impact of churn.

Revenue by Industry Vertical

FinTech leads at $32M, but the spread is relatively narrow ($32M to $24M). FinTech is where product market fit is strongest, making it the natural flagship vertical for deepening investment.

Industry	Revenue	Position
FinTech	$32M	Market leader — strongest PMF
DevTools	$29M	2nd — high churn risk
Cybersecurity	$27M	3rd — highest churn rate
EdTech	$25M	4th — best retention
HealthTech	$24M	5th — stable growth

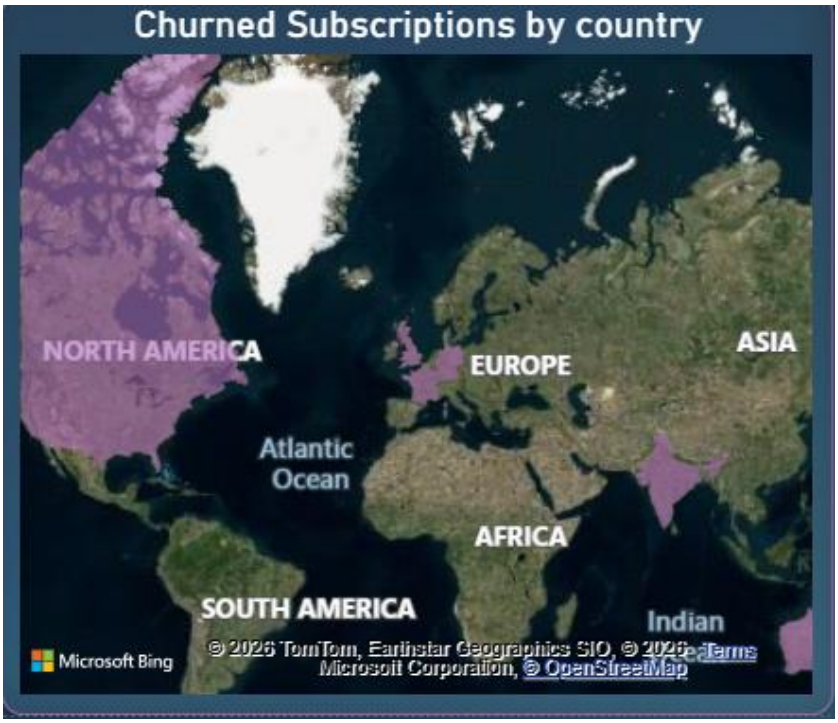
Lost Revenue by Plan Tier

Enterprise accounts are responsible for $11M of the $14M total loss (78.56%). These are the highest-value customers leaving at the highest rate, suggesting the product fails to deliver at the scale and reliability Enterprise customers demand.

Plan Tier	Lost Revenue	% of Total Loss	Implication
Enterprise	$11M	78.56%	Critical, highest value, highest loss
Pro	$2M	15.29%	Moderate, mid-tier attrition
Basic	$1M	6.15%	Expected, lower contract values

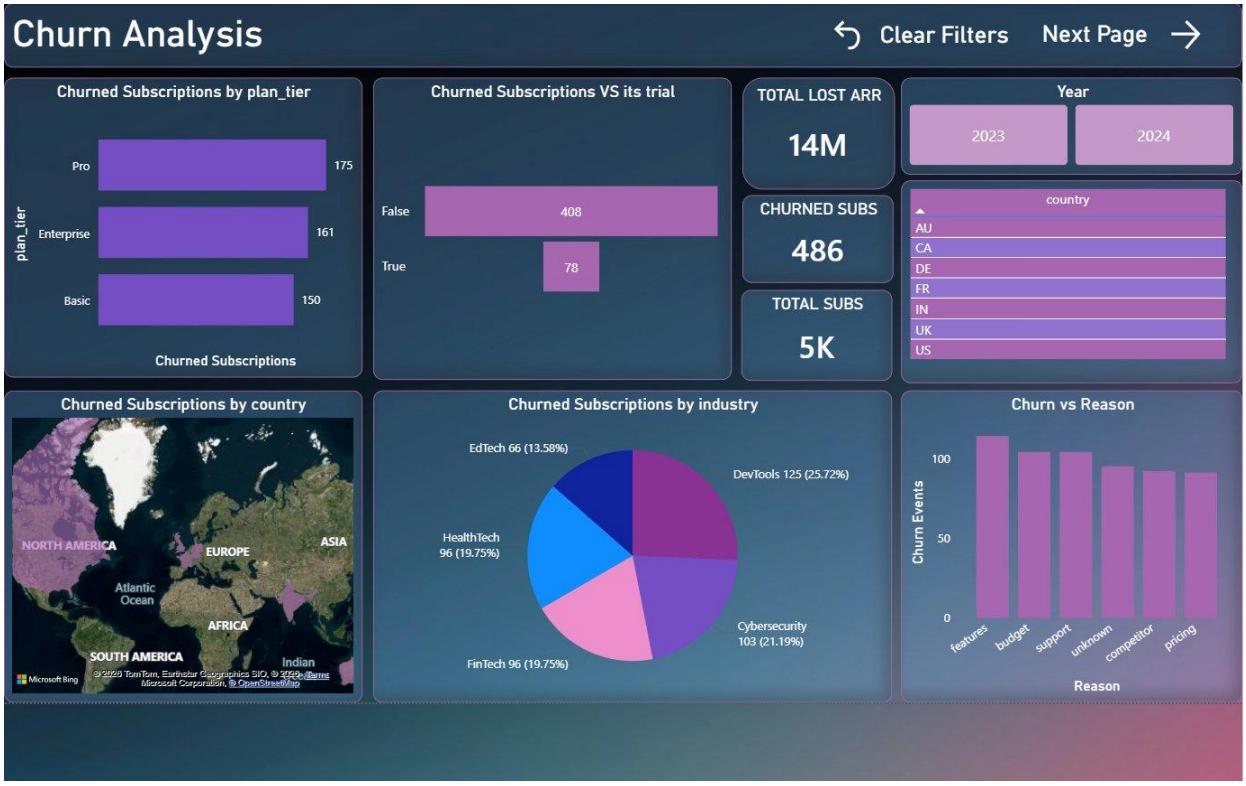
Revenue by Geography

The US generates the vast majority of both ARR and subscriptions, with the UK as a clear second market. India, Australia, France, Canada, and Germany contribute smaller but growing shares. This concentration creates significant risk, diversification into emerging markets is a priority for long-term stability.



3. Churn Analysis

486 subscriptions churned out of 5K total, producing a 42.76% annual churn rate and $14M in lost ARR. This section breaks down where, why, and who is churning.



Churn by Plan Tier

Pro leads in absolute churn count (175), but Enterprise's 161 churned subscriptions carry disproportionate revenue impact due to higher contract values.

Plan Tier	Churned Subs	Revenue Impact	Priority
Pro	175	$2M (15.29%)	Medium
Enterprise	161	$11M (78.56%)	Critical
Basic	150	$1M (6.15%)	Low

Trial vs Post-Trial Churn

84% of churn (408 of 486) happens after trial conversion, not during trial. Only 78 subscriptions churned during the trial period. The product sells itself effectively, customers commit to paid plans, but the execution fails to retain them. Churn spikes between 30 and 90 days after trial completion, when customers move from evaluation to production use.

Churn by Industry Vertical

DevTools and Cybersecurity together account for nearly half of all churn (47%), despite not being the top revenue verticals. EdTech shows the best retention at just 13.58%.

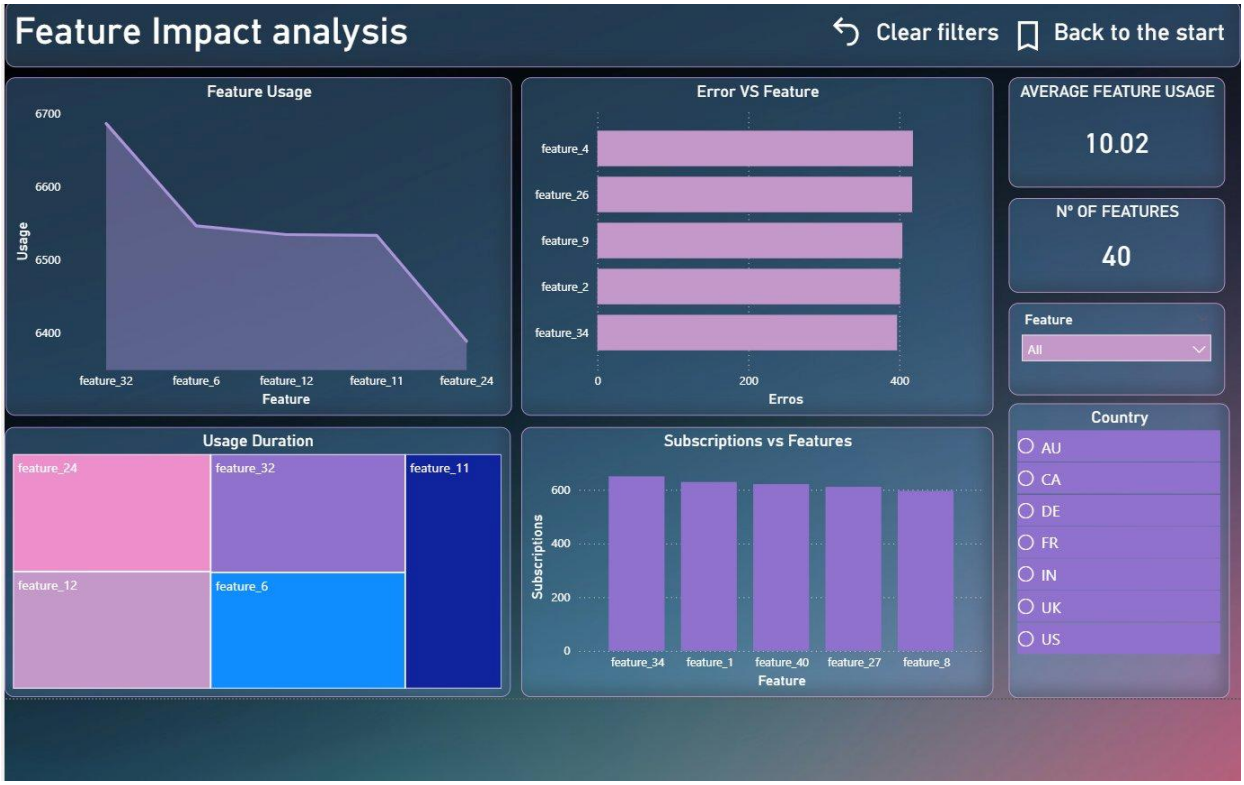
Industry	Churned	% of Total	Risk Assessment
DevTools	125	25.72%	Highest churn, investigate
Cybersecurity	103	21.19%	High churn, competitive pressure
FinTech	96	19.75%	Proportional to revenue share
HealthTech	96	19.75%	Proportional to revenue share
EdTech	66	13.58%	Best retention

Churn Reason

"Features" is the dominant churn driver at approximately 120 events, followed by budget (80), support (50), unknown (40), competitor (30), and pricing (20). The root cause is product reliability, not pricing or competition.

4. Feature Impact Analysis

With 40 features and an average usage of 10.02 per subscription, this dashboard identifies which features drive errors and which drive adoption, revealing the specific engineering priorities with the highest impact on churn reduction.



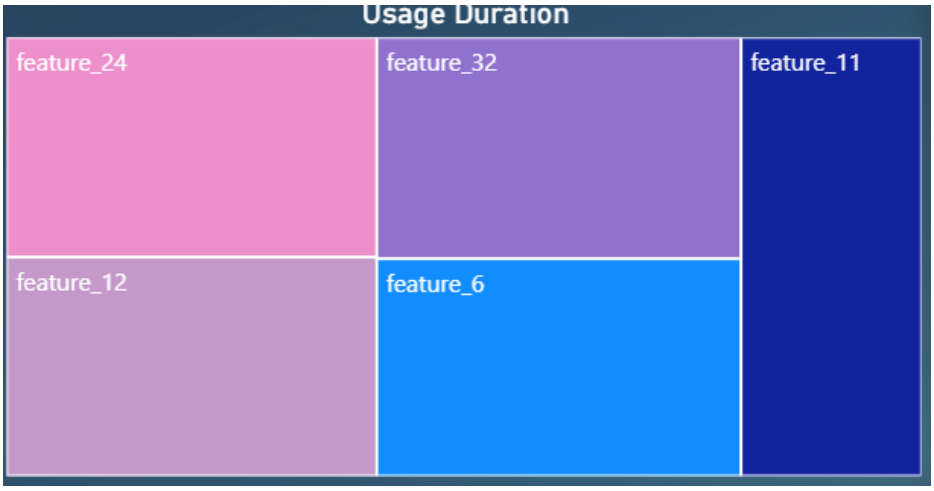
Top Error Generating Features

Five features (12.5% of the suite) generate the majority of all error events. The highest error features are not the highest usage features, confirming these are genuine reliability problems, not volume driven error rates.

Feature	Approx. Errors	Risk Level	Action
Feature 4	480	Critical	Immediate refactoring
Feature 26	420	Critical	Immediate refactoring
Feature 9	380	High	Priority stabilization
Feature 2	350	High	Priority stabilization
Feature 34	320	Moderate	Monitor and schedule

Usage Duration & Subscription Impact

Feature 24, feature 32, and feature 11 dominate usage duration, showing where customers spend the most time. Feature 34 appears in both the high-error and high-subscription lists (600+ subs), making it a priority fix that would impact the most customers simultaneously.



5.Recommendations

Recommendations are structured in three phases. The impact targets a reduction in annual churn from 42.76% to approximately 30% within 12 months, adding $6.3M in incremental ARR.

Phase 1: Stabilization

Objective: Stop revenue hemorrhaging and establish a quality baseline.

#	Action	Expected Impact
1	Fix feature 4 and feature 26 , top 2 error generators	25–30% reduction in feature-driven churn
2	Enterprise retention programme with dedicated support	15–20% reduction in Enterprise churn
3	Post-trial onboarding at 30/60/90 days	10–15% reduction in early churn

Phase 2: Value Optimization

Objective: Demonstrate clear ROI and establish competitive differentiation.

#	Action	Expected Impact
4	DevTools & Cybersecurity vertical investigation	30% reduction in budget-driven churn
5	Vertical-specific pricing aligned to industry economics	Recover $3.1M annual revenue
6	US/UK market deepening, increase seat adoption	$2.1M–$2.8M incremental ARR

Phase 3: Growth Expansion

Objective: Scale revenue while maintaining quality and expanding market coverage.

#	Action	Expected Impact
7	Emerging market entry (Australia, Germany, or Singapore)	$0.7M–$1.4M new ARR
8	Enterprise-exclusive features (governance, compliance)	50% reduction in Enterprise downgrades
9	FinTech vertical deepening as flagship	25–30% revenue growth in segment

Financial Projections

Timeframe	ARR Target	Churn Rate Target	Incremental Revenue
Baseline (Current)	$18.7M	42.76%	—
12 Months	$25M	30%	$6.3M
24 Months	$31.8M	25%	$13.1M cumulative

6. Data Methodology

Data Cleaning

SQL Server scripts were used to prepare and validate the dataset. Cleaning operations included data type standardization, null value handling, duplicate detection, and quality checks across subscription, revenue, and feature usage tables. All cleaning scripts are available in the repository (Data Cleaning.sql).

Analysis Tools

Power BI was used for all dashboard visualisation and interactive analysis, with DAX measures for calculated KPIs including churn rate, ARR calculations, and feature error aggregations. The analysis covers data from 2023–2024 across 7 countries and 5 industry verticals.

End of Report